

bigger and better IT infrastructure for companies and job opportunities. At the same time firms are looking for specialists to come and ensure trouble-free working of their infrastructure.

Drivers of growth

In addition, there are different factors that are driving the growth of the outsourced IT infrastructure industry. First, it could be either the lower cost or specialised domain knowledge of such firms. Secondly, IT firms in this field also give the option to companies to take their assets (IT infrastructure) on their own books. Fourth, greater focus: when Bharti signed a \$750 million deal with IBM in 2004, involving its data centre management, end-user support, help desk activities and network management, the rationale given by the company chairman, Sunil Mittal, was that his company would be better off focusing its time, management and efforts on processes that directly improve shareholder value. The successful execution of the deal, evident from further deals Bharti has undertaken for outsourcing infrastructure, have made other companies take notice of the benefits of IT outsourcing. Other Indian telco-operators have also begun to outsource parts of their business, such as call centre operations, application-based services and content.

On the supply side, global IT firms, such as EDC and IBM, were quick to realise the potential of this opportunity, and started offering it as a specialised service with the proposition of lower cost and domain knowledge to firms; this led to growth of outsourcing IT infrastructure management.

Indian IT firms are also realising the potential of this sector and are developing their capabilities based on low-cost proposition and competing with the global players.

According to Forrester Research, the outsource infrastructure market could be as big as \$111 billion compared to an estimated of \$120 billion for IT services and it is virtually untapped.

As Indian firms have built a reputation in delivering IT services in an offshore model, companies are more open to the idea of outsourcing infrastructure management to Indian firms. Indian firms are able to offer an attractive low-cost proposition to these firms. Add to this the fact that India has a large pool of cheap workforce — willing to work in the 'back-office' environment — with neutral accent and high understanding of technology.

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